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THE INDIAN MUTUAL FUND industry definitely ended 2023 on a high. The industry's total assets under management (AUM) breached the ₹50-lakh crore mark for the first time.

This was no doubt a big milestone, but what cheered the industry even more was the time it had taken to reach this milestone. The industry's AUM first crossed the ₹10-lakh crore mark way back in May 2014. It doubled three years later, in August 2017. Three years later, in November 2020, it touched ₹30 lakh crore. And then the gears shifted, and the next ₹10 lakh crore was added in just two years, followed by the last ₹10 lakh crore in a mere 13 months. Put another way, the mutual fund AUM swelled by ₹40 lakh crore in a little under nine years.

Thanks to this spurt in growth, a large section of industry participants believe that the pace of growth will accelerate further and the industry's AUM could more than double in four to five years.

What's the reason for this optimism, one may wonder. It's simple: The recent feats of the industry have been achieved with just a little over 40 million investors—a big jump from around 19 million in December 2018. Now, compare that with India's population of 1.4 billion, and you can see why industry officials are bullish on the growth potential here.

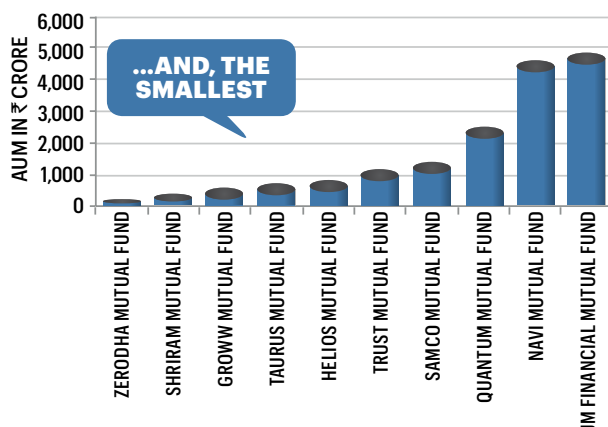
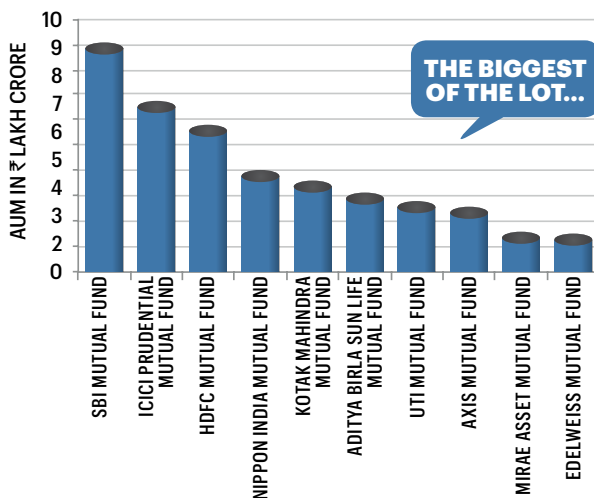
It is this large opportunity that has attracted a slew of new players into this space, sparking a paradigm shift hitherto not seen until a couple of years ago. They include a number of new-age technology majors like discount broker Zerodha, PhonePe, Navi, Groww, and Samco. Besides, many older firms from the BFSI space are also making an entry here.

And there is perhaps no better evidence of the interest here than the recently announced joint venture between Jio Financial Services and BlackRock Financial Management Inc., which is awaiting regulatory approval.

Despite these big-bang entries into this space—where the capital markets regulator Securities and Exchange Board of India (Sebi) closely monitors every move of the fund manager and fund house—there are just 45 fund houses or asset management companies (AMCs). Of these, only 14 fund houses boast an AUM in excess of ₹1 lakh crore each. This is why industry insiders see a lot of room for growth.

BIG & SMALL

▶ The Top 10 fund houses account for nearly ₹40 lakh crore AUM ▶ There are five fund houses with AUM of less than ₹1,000 crore



NOTE AUM AS ON DECEMBER 31, 2023

SOURCE VALUE RESEARCH



VISHAL JAIN
CEO, ZERODHA
MUTUAL FUND

“Distribution and customer service: That is the key for newer players. Innovation in distribution is required in terms of how to reach newer investors”